IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of Scheme of Arrangement (Demerger)

Between

CP(CAA)/78(CHE)/2021 in CA/64(CAA)/2021

RAJYOG CONSTRUCTIONS LIMITED,
CIN: U45201TN1987PLC014409,
No.59, Ormes Road,
Kilpauk, Chennai 600 010. *... Demerged Company*

AND

CPRS VENTURE PRIVATE LIMITED,
CIN:, U45500TN2020PTC139425
No.1/13,Ground Floor,
Dr.Vasudevan Street, Kelly, Kilpauk,
Chennai – 600 010. *... Resulting Company*

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on 20th June 2022

CORAM

JUSTICE (RETD) S.RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s) : Mr.Kumarpal R Chopra, Advocate
Mr.Pranav Jain, Advocate
Ms.Akshaya Giridharan, Advocate

ORDER

***Per:* ANIL KUMAR B, MEMBER (TECHNICAL)**

Under consideration is a Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. Rajyog Constructions Limited *(hereinafter*

referred to as "Demerged Company") and CPRS Venture Private Limited *(hereinafter referred to as "Resulting Company")* and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed at "Annexure 4" to the typed set filed along with the application in CP(CAA)/78(CHE)/2021.

2. The Registered office address of the Demerged Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/64(CAA)/2021 before the NCLT, Chennai Bench and directions were issued vide order dated 26.11.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company and Resulting Company had filed its First Motion Application vide CA/64(CAA)/2021 seeking directions for dispensation of meeting of the Equity Shareholders of both the companies and the same was ordered by this Tribunal dated 26.11.2021.

3.2 Subsequent to the said order, the Demerged Company and Resulting Company have filed the present Petition before this Tribunal on 10.12.2021 for sanction of the Scheme of Arrangement by this Tribunal.

4. RATIONALE OF THE SCHEME

The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. Enable greater/enhanced focus of management in the business thereby facilitating the management to efficiently exploit opportunities for separate business.

b. Ability to leverage financial and operational resources of each business; and each business would be able to address independent business opportunities, pursue efficient capital allocation and attract different sets of investors, strategic partners, lenders and other stake holders.

c. **Treatment of scheme for the purpose of Income Tax Act, 1961:**
The provisions of this Scheme comply with the conditions relating to "Demerger" as defined under Sections 2(19AA)of the IT Act, (hereinafter defined), if any terms or provision of the Scheme are found or interpreted to be inconsistent with the provision of the said section , the Board of the Demerged Company and Resulting Company may amend this Scheme, to the extent necessary to comply with Section 2(19AA) of the IT Act, such modifications, will however, not affect the other provision of the Scheme.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 12.01.2022 has directed the Resulting Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) The Jurisdictional Income Tax Office having jurisdiction over the respective companies and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (All India Edition) and *"Dina Mani"* Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 21.02.2022 and a perusal of the same discloses that the Companies has effected paper publication as directed by the Tribunal in *"Business Standard"* (All India Edition) in English and *"Dina Mani"* (Tamil Nadu Edition) in Tamil on 14.02.2022. It is also seen that notices have been also served to (i) The Regional Director (Southern Region) on 24.01.2022 (ii) Registrar of Companies Chennai on 24.01.2022 (iii) The Assistant Commissioner of Income Tax / Assessing Officer of concerned Income Tax Circle, Corporate Ward 5(4) Chennai on 24.01.2022. Pursuant to the service of notice of the petition the following statutory authorities have responded as below;

7. **STATUTORY AUTHORITIES**

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion, has filed his Report before this Tribunal on 08.04.2022 and has stated that as per Clause 8 of Part II of the Scheme provides about protection of employees of the Demerged Company. All staff and employees of the Demerged Company, in service on the Effective Date, shall be deemed to have become permanent employees of the Resulting Company, with effect from the Effective Date, without any break in their service and other benefits.

7.2. Further, at para 8 of the said report the RD has observed that as per Clause 5 of Part II of the Scheme, the Resulting Company shall issue and allot to the Shareholders of Demerged Company only 01 fully paid-up equity shares of Rs.10/- each for every 600 equity shares of Rs.10/- each held in the Demerged Company. As such, the Resulting Company shall be issuing 10,000 equity shares of Rs.10/- each to the Shareholders of the Demerged Company as consideration upon effectiveness of the scheme of arrangement (demerger).

7.3. It was further observed by the RD in para 9 of his report that Clause 5.2 of Part II of the Scheme deals with increasing the Authorized Share Capital of the Resulting Company. The Resulting Company to the extent required may increase its Authorized Share Capital to issue new shares in accordance with provisions of the Act and prayed to direct the Resulting Company to pay the fee involved in increasing the Authorized Share Capital and also to file the amended MOA and AOA with ROC, Chennai.

7.4. It was further observed by the RD that Clause 6 of Part II of the Scheme provides the accounting treatment in the books of the Resulting Company, which states that the assets and liabilities of the Demerged Company shall be recorded at their respective book value and the transactions are accounted as per applicable Accounting Standard (AS) prescribed under Sec. 133 of the Companies Act, 2013 read with Companies (Accounts) Rules, 2014 as amended from time to time.

7.5. It was further observed by the RD that as per the report of ROC, Chennai, the Demerged Company, and the Resulting Company have filed their statutory returns up to 31.03.2021. The ROC, Chennai has further stated that there is no prosecution or complaints pending and no inspection /

investigation have been ordered / pending in respect of both the companies. Further, stated that except for the observation at para 7.3 (supra), the RD has not made any objection to the Scheme.

7.6. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.7. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is*

liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. **ACCOUNTING TREATMENT**

The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of Demerged Company is placed at pages 82 and 83 to the typed set filed along with the petition and for the Resulting Company is placed at 58 and 59 to the typed set filed along with the petition.

9. **OBSERVATIONS OF THIS TRIBUNAL**

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having

been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure-4 along with CP(CAA)/78(CHE)/2021.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerged Company or Resulting Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed *qua* any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in

accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged

Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by clause 5.1 of Part II of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be 31.03.2021 as mentioned in clause 1.2 of Part I of the SCHEME itself. That the Effective Date shall be the date on which certified copy of the order(s) of the NCLT sanctioning the Scheme is filed with the Registrar of Companies, Tamil Nadu as mentioned in clause 1.5 of Part I of the SCHEME itself.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

11. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

JUSTICE (RETD) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Gopishankar D